FALLEN EMPIRES

Tipsy Elves: deal sheet

The deal

- Shark Tank US, season 5, holiday episode aired December 13, 2013.
- Ask (per episode recaps): $100,000 for 5% (implied valuation $2,000,000).
- Offers: Kevin O'Leary, $100,000 for a $2 per-sweater royalty until repaid, then $1 per sweater; Robert Herjavec, $100,000 for 10% (valuation $1,000,000). Mark Cuban and Lori Greiner passed; Daymond John made no offer.
- Final deal: Robert Herjavec, $100,000 for 10%. The company's only outside funding round (The Hustle).

After the show (reported figures)

- Just under $1 million in sales at the time of the pitch (TV Insider, 2019).
- Over $3 million in sales after the deal; about $10 million expected for 2015, 20 full-time employees (Entrepreneur, Dec 2015).
- Over $70 million in sales by 2018 (Wikipedia); over $125 million in sales and about 30 employees (TV Insider, 2019).
- Sales, not profit: the company has not published profit figures.

3 things to do

1. Prove demand before spending: search data first, then a 5,000-sweater sellout in about 10 days.
2. Raise one small round for a specific jump.
3. Turn one hit product into a year-round brand.

2 mistakes to avoid

1. Believing one product is a company: sweaters are about a third of Christmas sales today.
2. Treating a royalty as free money: it pays the investor on every sale.

Glossary

- **Valuation**: price paid divided by the share bought.
- **Royalty**: a cut of every sale, whatever the profit.
- **Revenue vs profit**: money in vs what is left after all costs.

Sources: TV Insider (2019), Wikipedia, The Hustle, Entrepreneur (2015). Not investment advice.

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